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JD.com, Inc. | Asia Pacific

2Q26 to Be Better Than Feared

We see JDR as better than feared in 2Q26 despite high base and weak consumption. In 2H26, we expect JDR's revenue growth to pick up and greater margin improvement. New business investments could remain at current scale as narrowed loss in food delivery is offset by investment in Jingxi and Joybuy.

2Q26 preview:

- **JDR:** We project revenue to be down 5% yoy: electronics and home appliances revenue declining in the low teens (%) yoy, which is better than market expectation; general merchandise revenue up in mid-single digits (%) yoy, 3P revenue up in high single digits (%) yoy. In June, yoy growth picked up sequentially against an easier comp and with recovery in online trade-in quota. We project JDR's OPM to be up 5bps yoy despite revenue decline, mainly driven by GPM improvement in the general merchandise category (same as in 1Q26)
- **Group:** We project revenue to be down 3% yoy. We estimate that new business loss narrowed slightly qoq, from Rmb10.4bn in 1Q26 (food delivery loss at ~Rmb7bn) to Rmb9.8bn in 2Q26 (food delivery loss at ~Rmb6.5bn). Hence, we forecast group non-GAAP NP at Rmb8.4bn (+13% yoy)

2H26 outlook: We expect JDR's revenue growth to bottom in 2Q26 and start to recover in 2H26 thanks to easier comps; OPM should show greater improvement compared to 2Q26. We expect new business loss to be flattish in 2H26 (lower food delivery loss offset by higher Jingxi and overseas investments). Hence, we project non-GAAP NP at Rmb31.4bn.

Maintain price target at US\$27 and rating at UW: We fine-tuned our earnings estimates. Our unchanged price target implies 9x 2026e non-GAAP P/E, which we believe is fair against a 10% earnings CAGR over 2026-29.

MORGAN STANLEY ASIA LIMITED+

Eddy Wang, CFA

Equity Analyst

Eddy.Wang@morganstanley.com

+852 2239-7339

Kathy Zhu

Research Associate

Kathy.Zhu@morganstanley.com

+852 3963-2618

Gary Yu

Equity Analyst

Gary.Yu@morganstanley.com

+852 2848-6918



JD.com, Inc. (JD.O, JD US)

China Internet and Other Services | China

Stock Rating	Underweight
Industry View	Attractive
Price target	US\$27.00
Up/downside to price target (%)	(4)
Shr price, close (Jul 10, 2026)	US\$28.20
52-Week Range	US\$36.86-24.51
Sh out, dil, curr (mn)	2,728
Mkt cap, curr (mn)	US\$76,921
EV, curr (mn)	US\$68,993
Avg daily trading value (mn)	US\$346.50

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	18.15	22.03	24.44	27.48
Prior EPS (Rmb)**	-	22.27	24.91	27.80
Revenue, net (Rmb bn)	1,309	1,372	1,443	1,498
Net income (Rmb bn)**	27	31	35	39
P/E**	11.1	8.7	7.8	7.0
P/BV	1.4	1.2	1.2	1.1
ROE (%)	11.3	14.0	15.1	16.2

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

e = Morgan Stanley Research estimates

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Preview to earnings

Focus KPI	Focus KPI Surprise	Likely impact to consensus EPS*
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JD.com, Inc. JD.O

Group NP ↑ Likely upside surprise — Largely unchanged

- We estimate 2Q26 JDR revenue to be down 5% yoy, group revenue down 3% yoy
- We estimate 2Q26 JDR OPM to be up 5bps yoy, with new business loss narrowing slightly qoq
- We estimate 2Q26 non-GAAP NP at Rmb8.4bn.

*Likely impact to consensus EPS is for the next 12 months
Source: Company data, Morgan Stanley Research

Financial Summary

Exhibit 1: GAAP Summary

GAAP (Rmb mn)	Mar-25 1Q25	Jun-25 2Q25	Sep-25 3Q25	Dec-25 4Q25	Mar-26 1Q26	Jun-26 2Q26E	Dec-24 2024	Dec-25 2025	Dec-26 2026E	Dec-27 2027E	Dec-28 2028E
Total revenues	301,082	356,660	299,059	352,284	315,694	345,570	1,158,819	1,309,085	1,371,705	1,443,297	1,498,385
Cost of revenues	(253,234)	(300,020)	(248,585)	(297,218)	(262,667)	(288,964)	(974,951)	(1,099,057)	(1,143,591)	(1,202,556)	(1,247,706)
Gross profits	47,848	56,640	50,474	55,066	53,027	56,607	183,868	210,028	228,114	240,741	250,679
Operating expenses	(37,315)	(57,723)	(51,688)	(59,612)	(49,220)	(51,301)	(144,298)	(206,338)	(209,433)	(214,430)	(217,977)
Fulfillment Expenses	(19,737)	(22,145)	(22,002)	(24,292)	(23,393)	(21,457)	(70,426)	(88,176)	(95,266)	(100,353)	(104,606)
Marketing Expenses	(10,543)	(27,013)	(21,050)	(25,347)	(15,372)	(19,496)	(47,953)	(83,953)	(73,451)	(69,893)	(66,102)
Technology & Content Expenses	(4,621)	(5,299)	(5,646)	(6,663)	(6,866)	(7,753)	(17,031)	(22,229)	(28,039)	(30,918)	(33,572)
General & Administrative Expenses	(2,414)	(3,266)	(2,990)	(3,310)	(3,589)	(2,596)	(8,888)	(11,980)	(12,677)	(13,267)	(13,698)
Impairment of goodwill and intangible assets	-	-	-	(1,303)	-	-	(2,361)	(1,303)	-	-	-
Operating profit	10,533	(859)	(1,051)	(5,849)	3,807	5,305	38,736	2,774	18,681	26,311	32,702
Interest Income, net	-	-	-	-	-	-	-	-	-	-	-
Interest Expense	(600)	(643)	(730)	(830)	(686)	(643)	(2,896)	(2,803)	(2,889)	(2,889)	(2,254)
Share of results of equity investees	1,330	2,072	2,740	1,883	1,636	1,636	2,327	8,025	6,544	5,890	5,301
Other Income / (Expense), Net	2,079	6,129	5,674	3,445	2,333	2,333	13,371	17,327	9,332	8,399	7,559
Profit before tax	13,342	6,699	6,633	(1,351)	7,090	8,631	51,538	25,323	31,668	37,710	43,308
Income tax expenses	(2,063)	10	(252)	124	(1,260)	(1,534)	(6,878)	(2,181)	(5,628)	(7,644)	(9,212)
Net profit/(loss)	11,279	6,709	6,381	(1,227)	5,830	7,097	44,660	23,142	26,040	30,066	34,095
Net loss/(income) attributable to non-controlling interests	(389)	(531)	(1,105)	(1,486)	(728)	-	(3,301)	(3,511)	(728)	(500)	(500)
Net Profit (loss) attributable to ordinary shareholders	10,890	6,178	5,276	(2,713)	5,102	7,097	41,359	19,631	25,312	29,566	33,595
EPS (Rmb)											
- Basic	7.52	4.35	3.72	(1.93)	3.72	5.20	27.67	13.79	18.56	21.79	24.88
- Diluted	7.18	4.16	3.56	(1.85)	3.56	(5.27)	26.89	13.18	17.75	20.84	23.80
Margins (%)											
Gross margin	15.9%	15.9%	16.9%	15.6%	16.8%	16.4%	15.9%	16.0%	16.6%	16.7%	16.7%
Operating margin	3.5%	-0.2%	-0.4%	-1.7%	1.2%	1.5%	3.3%	0.2%	1.4%	1.8%	2.2%
Net margin attributable to ordinary shareholders	3.6%	1.7%	1.8%	-0.8%	1.6%	2.1%	3.6%	1.5%	1.8%	2.0%	2.2%
QoQ Growth (%)											
Sales	-13%	18%	-16%	18%	-10%	9%					
Gross profits	-10%	18%	-11%	9%	-4%	7%					
Operating profits	24%	turn loss	N/M	N/M	turn profit	39%					
Net Profit (loss) attributable to ordinary shareholders	11%	-43%	-15%	turn loss	turn profit	39%					
YoY Growth (%)											
Sales	16%	22%	15%	2%	5%	-3%	7%	13%	5%	5%	4%
Gross profits	20%	23%	12%	4%	11%	0%	15%	14%	9%	6%	4%
Operating profits	37%	turn loss	turn loss	turn loss	-64%	turn profit	49%	-93%	573%	41%	24%
Net Profit (loss) attributable to ordinary shareholders	53%	-51%	-55%	turn loss	-53%	15%	71%	-53%	29%	17%	14%

Source: Company data, Morgan Stanley Research (E) estimates

Exhibit 2: Non-GAAP Summary

Non-GAAP (Rmb mn)	Mar-25 1Q25	Jun-25 2Q25	Sep-25 3Q25	Dec-25 4Q25	Mar-26 1Q26	Jun-26 2Q26E	Dec-24 2024	Dec-25 2025	Dec-26 2026E	Dec-27 2027E	Dec-28 2028E
Total revenues	301,082	356,660	299,059	352,284	315,694	345,570	1,158,819	1,309,085	1,371,705	1,443,297	1,498,385
Cost of revenues	(253,227)	(299,995)	(248,563)	(297,185)	(262,647)	(288,939)	(974,871)	(1,098,970)	(1,143,486)	(1,202,446)	(1,247,591)
Gross profits	47,855	56,665	50,496	55,099	53,047	56,631	183,948	210,115	228,218	240,851	250,793
Operating expenses	(36,191)	(55,769)	(50,285)	(58,227)	(48,054)	(50,016)	(139,919)	(200,472)	(204,365)	(209,316)	(212,871)
Operating profit	11,664	896	211	(3,128)	5,628	6,615	44,029	9,643	24,489	31,535	37,923
Non-op adjustments	3,546	7,019	6,942	5,574	3,739	3,275	13,977	23,081	13,290	11,285	10,581
Profit before tax	15,210	7,915	7,153	2,446	9,367	9,890	58,006	32,724	37,779	42,820	48,504
Income tax expenses	(2,063)	10	(252)	124	(1,260)	(1,534)	(6,878)	(2,181)	(5,628)	(7,644)	(9,212)
Net loss/(income) attributable to non-controlling interests	(389)	(531)	(1,105)	(1,486)	(728)	0	(3,301)	(3,511)	(728)	(500)	(500)
Net Profit (loss) attributable to ordinary shareholders	12,758	7,394	5,796	1,084	7,379	8,356	47,827	27,032	31,423	34,676	38,791
Non-GAAP EPS - Basic (Rmb)	8.80	5.21	4.08	0.77	5.39	6.12	31.99	18.99	23.04	25.55	28.73
Non-GAAP EPS - Diluted (Rmb) - MW EPS	8.41	4.98	3.91	0.74	5.15	5.85	31.10	18.15	22.03	24.44	27.48
Margins (%)											
Gross margin	15.9%	15.9%	16.9%	15.6%	16.8%	16.4%	15.9%	16.1%	16.6%	16.7%	16.7%
Operating margin	3.9%	0.3%	0.1%	-0.9%	1.8%	1.9%	3.8%	0.7%	1.8%	2.2%	2.5%
Net margin attributable to ordinary shareholders	4.2%	2.1%	1.9%	0.3%	2.3%	2.4%	4.1%	2.1%	2.3%	2.4%	2.6%
QoQ Growth (%)											
Sales	-13%	18%	-16%	18%	-10%	9%					
Gross profits	-10%	18%	-11%	9%	-4%	7%					
Operating profits	11%	-92%	-76%	turn loss	turn profit	18%					
Net Profit (loss) attributable to ordinary shareholders	13%	-42%	-22%	-81%	581%	13%					
YoY Growth (%)											
Sales	16%	22%	15%	2%	5%	-3%	7%	13%	5%	5%	4%
Gross profits	20%	23%	12%	4%	11%	0%	15%	14%	9%	6%	4%
Operating profits	31%	-92%	-98%	turn loss	-52%	638%	24%	-78%	154%	29%	20%
Net Profit (loss) attributable to ordinary shareholders	43%	-49%	-56%	-90%	-42%	13%	36%	-43%	16%	10%	12%

Source: Company data, Morgan Stanley Research (e) estimates

Risk Reward – JD.com, Inc. (JD.O)

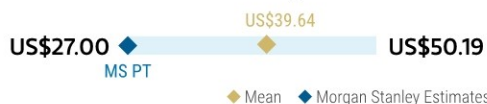
Least favorably positioned Chinese e-Commerce stock for the next 12 months

PRICE TARGET US\$27.00

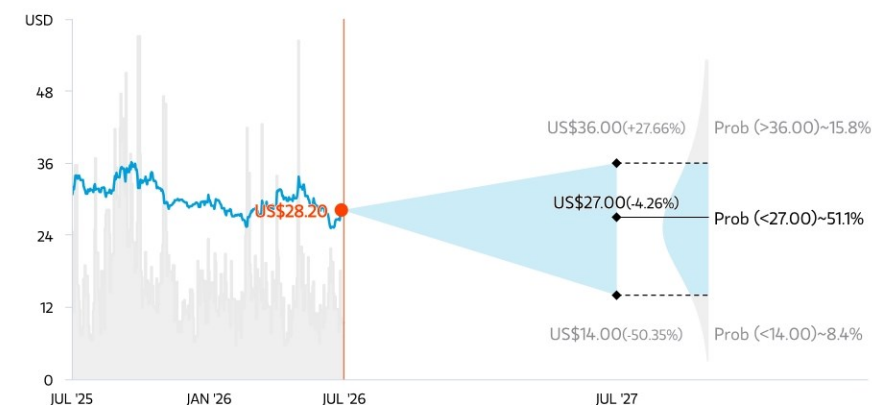
Base case scenario value, derived from a discounted cash flow valuation, which is our preferred methodology because it incorporates our long-term view of the company's operations. In our DCF model, we apply a 13% WACC and a 3% terminal growth rate.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



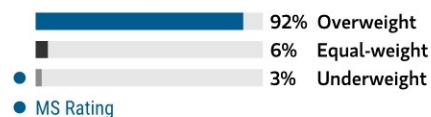
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 10 Jul 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

UNDERWEIGHT THESIS

- We see JDR as better than feared in 2Q26 despite high base and weak consumption.
- In 2H26, we expect JDR revenue growth acceleration and greater margin improvement.
- New business investments could remain at current scale as narrowed loss in food delivery is offset by investment in Jingxi and Joybuy.
- Our price target implies 9x 2026e non-GAAP P/E, which we view as fair and similar to PDD's 9x 2026e P/E.
- On this basis, we do not find current valuation attractive.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Disruption: *Negative*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE	US\$36.00	BASE CASE	US\$27.00	BEAR CASE	US\$14.00
14x 2026e bull case non-GAAP P/E		9x 2026e base case non-GAAP P/E		5x 2026e bear case non-GAAP P/E	
Stronger revenue growth and margin expansion:		On-track revenue growth, margin expansion, and narrowed losses for new businesses:		Softer revenue growth and margin expansion resulting from competition:	
- Revenue to rise at a 10% CAGR over 2026-29e.		- Revenue to rise at a 4% CAGR over 2026-29e.		- Revenue -2% CAGR over 2026-29e.	
- Non-GAAP net profit to increase at a 15% CAGR over 2026-29e.		- Non-GAAP net profit to increase at a 10% CAGR over 2026-29e.		- Non-GAAP net profit to remain flattish over 2026-29e.	

Risk Reward – JD.com, Inc. (JD.O)

KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Active customers (mn)	749.3	815.0	860.8	900.0
GMV per active customer (Rmb)	5,732.5	5,445.8	5,336.9	5,230.2
1P GPM (%)	9.4	9.8	9.8	9.8
Fulfillment exp as % of GMV (%)	2.0	2.1	2.2	2.2

INVESTMENT DRIVERS

- Supply chain-based business model
- Improving operating efficiency
- Further strengthening in financial position
- Changes in consumer behavior

GLOBAL REVENUE EXPOSURE



● 100% Mainland China

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5 BEST	24 Month Horizon	4/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Significant scaling back of investments in new businesses, boosting earnings and margins
- Speeding up return of FCF to shareholders

RISKS TO DOWNSIDE

- More aggressive than expected S&M spending
- Slower-than-expected recovery of consumption sentiment
- Possible return of irrational competition in e-commerce

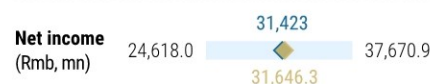
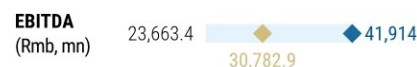
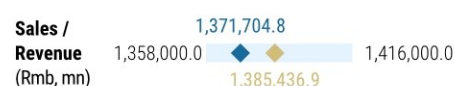
OWNERSHIP POSITIONING

Inst. Owners, % Active	79.2%	
HF Sector Long/Short Ratio	1.7x	
HF Sector Net Exposure	11.1%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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Global Stock Ratings Distribution

(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

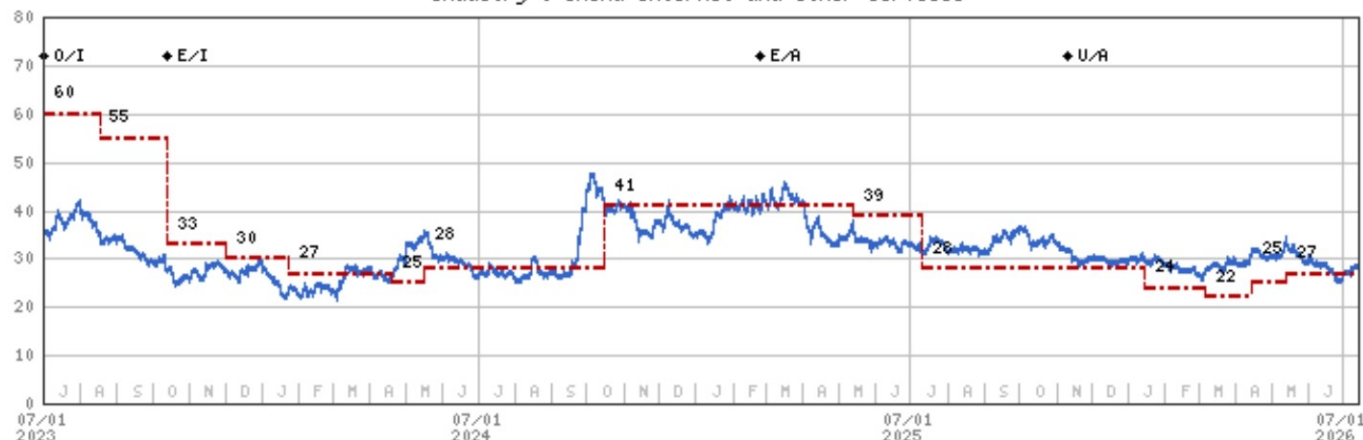
Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below. Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

JD.com, Inc. (JD.O) - As of 07/13/26 GMT in USD
Industry : China Internet and Other Services



Stock Rating History: 7/1/21 : O/A; 9/20/21 : O/I; 10/13/23 : E/I; 2/24/25 : E/A; 11/10/25 : U/A

Price Target History: 4/19/21 : 89; 8/20/21 : 78; 9/20/21 : 98; 3/7/22 : 85; 3/11/22 : 75; 3/21/22 : 80; 10/28/22 : 55; 11/21/22 : 65; 1/5/23 : 74; 3/10/23 : 66; 4/11/23 : 60; 8/17/23 : 55; 10/13/23 : 33; 12/1/23 : 30; 1/24/24 : 27; 4/19/24 : 25; 5/17/24 : 28; 10/15/24 : 41; 5/14/25 : 39; 7/10/25 : 28; 1/14/26 : 24; 3/6/26 : 22; 4/15/26 : 25; 5/13/26 : 27

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/10/2026)
Eddy Wang, CFA		
Autohome Inc (ATHM.N)	E (02/09/2023)	US\$20.30
Full Truck Alliance Co. Ltd (YMM.N)	O (07/05/2023)	US\$8.57
JD.com, Inc. (JD.O)	U (11/10/2025)	US\$28.20
Kanzhun Ltd (BZ.O)	O (08/04/2021)	US\$13.76
KE Holdings Inc (BEKE.N)	O (03/16/2022)	US\$15.57
PDD Holdings Inc (PDD.O)	O (03/02/2023)	US\$85.13
Vipshop Holdings Ltd (VIPS.N)	E (02/24/2022)	US\$13.94
Gary Yu		
Alibaba Group Holding (BABA.N)	O (02/24/2025)	US\$112.33
Baidu Inc (BIDU.O)	E (05/17/2024)	US\$117.53
Meituan (3690.HK)	O (08/29/2024)	HK\$77.95
Tencent Holdings Ltd. (0700.HK)	O (03/19/2020)	HK\$457.60
Rebecca Xu		
HUYA Inc (HUYA.N)	E (05/16/2024)	US\$2.45
IQIYI Inc (IQ.O)	E (01/19/2023)	US\$1.13
JOYY Inc. (JOYY.O)	E (06/02/2022)	US\$70.54
Weibo Corp (WB.O)	U (05/17/2024)	US\$7.72
Yang Liu		
Bilibili Inc (BILI.O)	O (04/13/2026)	US\$17.70
Kuaishou Technology (1024.HK)	O (05/26/2026)	HK\$43.60
NetEase, Inc (NTES.O)	O (01/08/2025)	US\$128.03
Tongcheng Travel Holdings (0780.HK)	O (01/04/2019)	HK\$12.18
Trip.com Group Ltd (TCOM.O)	O (05/17/2021)	US\$42.80

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